IN THE DISTRICT COURT OF APPEAL OF FLORIDA
THIRD DISTRICT

3D2025-2083
L.T. No. 24-22038-CA-01

SAMANTHA LOVING AND SOPHEARY DEBENEDICTIS,
Appellants,

v.

ASSIGNMENT FOR THE BENEFIT OF CREDITORS OF GUSAR LLC,
Appellee.

BRIEF OF AMICUS CURIAE FLORIDA JUSTICE REFORM INSTITUTE IN SUPPORT OF APPELLANTS

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STATEMENT OF IDENTITY AND INTEREST

The Florida Justice Reform Institute ("Institute") is Florida's leading organization of concerned citizens, business owners, and business leaders who share the common goals of promoting predictability in Florida's civil justice system, eliminating wasteful civil litigation, and promoting fair and equitable legal practices. The Institute pursues those goals by educating its members on the state of the law, identifying areas of concern, and advocating for sound legal policy before the Legislature and the courts. It has a long history of participating as amicus curiae in significant appellate cases throughout Florida, including before this Court and the Florida Supreme Court.

The Institute's work ordinarily concerns causes of action—their elements, their limits, and the predictability of the liability rules Floridians order their affairs around. The question on which the Court has invited amicus input lies at the intersection of liability insurance and chapter 727 of the Florida Statutes, a field outside the Institute's customary wheelhouse. The Institute is nevertheless grateful for the Court's invitation and for the opportunity to offer its perspective, because the answer to the Court's question will shape two things at the core of the Institute's mission: the predictability of Florida law and the finality of settlements.

SUMMARY OF ARGUMENT

The answer to the Court's question is no. A liability insurance policy passes to a chapter 727 estate; its proceeds do not, because the assignor never owned them. The Assignee in this case conceded that general rule

below, and Appellants' briefs develop it soundly. The Institute writes to add two points. First, chapter 727's unambiguous text directs the equitable distribution of the estate's assets and says nothing about the equitable characterization of another's money as an asset. A companion statute, section 624.155(6), already decides when and at whose election policy limits may be pooled among competing claimants. The turnover order rewrites both. Second, the Court should decline to import the federal "secondary impact exception," whose adoption would leave no settlement with a financially distressed defendant final until the money actually changes hands, making claims resolution slower and more expensive. The Institute respectfully supports Appellants and urges reversal.

ARGUMENT

I. Florida law commits settlement selection to the liability insurer, and the Legislature has already decided when—and at whose election—policy limits may be pooled for pro-rata distribution.

The Institute takes as its starting point what the Assignee conceded below: In a "typical insolvency case," the limits of a debtor's CGL policy are "not considered the property of the estate." The concession follows from first principles. A chapter 727 estate comprises the assignor's own interests in property, § 727.103(1), Fla. Stat. (2025), and the assignee "is in no better or worse position than his assignor," Akin Bay Co. v. Von Kahle, 180 So. 3d 1180, 1183 (Fla. 3d DCA 2015). A liability policy promises its insured a defense and the payment of covered claims from the insurer's own funds; it gives the insured no right to receive the limits itself. See In re Edgeworth, 993 F.2d 51, 55–56 (5th Cir. 1993).

Tellingly, the Assignee identifies no Florida decision, under chapter 727 or any other insolvency regime, treating liability-policy proceeds as an asset of the estate. Appellants' briefs develop the point, and the Institute defers to them. The open question is whether a court may craft an equitable exception when competing claims may exceed the available limits. Florida law has already answered it.

A. The insurer's settlement authority is settled law.

For more than fifty years, Florida law has allowed that "where multiple claims arise out of one accident, the liability insurer has the right to enter reasonable settlements with some of those claimants, regardless of whether the settlements deplete or even exhaust the policy limits." Harmon v. State Farm Mut. Auto. Ins., 232 So. 2d 206, 207–08 (Fla. 2d DCA 1970); accord Farinas v. Fla. Farm Bureau Gen. Ins., 850 So. 2d 555, 560–61 (Fla. 4th DCA 2003). The check on that authority is the insurer's duty of good faith toward its insured. See Farinas, 850 So. 2d at 557–61. Liberty exercised precisely that authority here, and it did so before the chapter 727 petition was filed: It made a conscious decision to settle two pending suits, with the insured's support, and it later stood on its exclusive right and duty under the policy to pay the settlements when the Assignee demanded the limits. Those settlements protected Gusar and preserved the estate's other assets, including a receivable the petition itself valued at $3.5 million, for remaining creditors.

B. Section 624.155(6) is the Legislature's answer to competing claims against inadequate limits, and it is voluntary.

In 2023 the Legislature confronted the precise scenario this case presents: "two or more third-party claimants" with "competing claims arising

out of a single occurrence, which in total may exceed the available policy limits." § 624.155(6), Fla. Stat. (2025). Its solution was a safe harbor. An insurer that, within 90 days after notice of the competing claims, (a) files an interpleader action under Florida Rule of Civil Procedure 1.240 with the claimants "entitled to a prorated share of the policy limits as determined by the trier of fact," or (b) makes its limits available for agreed binding arbitration, "is not liable beyond the available policy limits" for failing to pay any particular claimant. Id.

That design embodies three deliberate choices. Pooling is voluntary: the statute shields an insurer that elects it and compels nothing. Pooling is insurer-initiated: only the insurer may invoke the harbor. And pooling is priced: the insurer surrenders its Harmon discretion in exchange for peace from extracontractual exposure. An insurer that declines the harbor keeps both its discretion and its bad-faith risk, come what may.

C. The turnover order rewrites the first statute and overrides the second.

Chapter 727's text forecloses the turnover order. The chapter directs the equal, equitable distribution of the estate's assets according to statutory priorities. See § 727.101, Fla. Stat. (2025). It says nothing about the equitable characterization of another's property as an asset of the estate. The trial court nevertheless ruled that Gusar, and through the assignment the Assignee, possessed an "equitable interest" in the fair, pro-rata distribution of Liberty's limits among all similarly situated claimants, an interest that overrode Liberty's contractual settlement authority and required Appellants to surrender their settlement payments. Strip away the label,

and that is section 624.155(6)'s pooled, pro-rata distribution—imposed by decree rather than election, triggered by the debtor's assignee rather than the insurer, and applied retroactively to unwind settlements reached before the petition was filed and enforced by the orders of two courts.

When statutory text is unambiguous, courts apply it as written. The prerogative to amend it belongs to the Legislature, and so does the choice whether Florida's assignment estates should ever capture liability-policy proceeds.

II. Importing the "secondary impact exception" would leave no settlement with a distressed defendant final.

The trial court borrowed its equitable-interest theory from In re OGA Charters, which classified liability proceeds as estate property where "a siege of tort claimants threaten[s] the debtor's estate over and above the policy limits." 901 F.3d 599, 604 (5th Cir. 2018). The exception that case articulated undermines the sanctity of contract. The policy allocated settlement authority to Liberty, and Liberty performed: It settled, it stood on its rights when the Assignee demanded the limits, and it paid. Permitting an assignee to use the court process, after the fact, to undo the insurer's performance and redistribute the proceeds as he sees fit rewrites the parties' bargain. But a policy "must be enforced as written," and "[c]ourts are without power to rewrite insurance contracts." Fojon v. Ascendant Com. Ins., 393 So. 3d 806, 810 (Fla. 3d DCA 2024).

The consequences of affirmance would reach far beyond this case. If a later-filed chapter 727 petition can transform paid settlement proceeds into estate property, then no settlement with a financially distressed defendant

is final until the funds are actually distributed—and perhaps not even then. Insurers, insureds, and claimants alike would face lingering uncertainty over whether resolved claims stay resolved, making claims resolution slower, more difficult, and more expensive. Injured claimants would discount their recoveries or refuse to settle, insureds would lose the prompt protection their premiums purchase, and debtors would hold a strategic lever: settle, assign, and claw the insurer's money back into an estate that pays its administrators first. Predictability would be the first casualty; settlements would be the second.

CONCLUSION

The Court should answer its question in the negative: The proceeds of a CGL policy do not become an asset of a chapter 727 estate, because the assignor holds no right to receive them. The turnover order should be reversed.

Respectfully submitted,

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CERTIFICATE OF COMPLIANCE

I certify that this brief complies with the font and word count requirements of Florida Rules of Appellate Procedure 9.045 and 9.370(b). This brief is computer-generated, is set in Arial 14-point font, and contains 1436 words, excluding the parts of the document exempted by Rule 9.045(e).

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